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Tencent Holdings Ltd. | Asia Pacific

Hy3 Released: Significant Gains in Agent Capabilities and Product Experience

Key Takeaways

- Tencent released an open-sourced Hy3 on July 6, retaining Hy3 Preview MoE architecture (295B parameters, 21B active, 256k-token context).
- Meaningful gains on productivity tasks such as software development, office productivity, financial modeling, fronted design and game production.
- Cost-effective practical approach: Tencent Cloud API pricing: Rmb 1.0/4.0 million input/output tokens, Rmb 0.25/million for cache-hit input.

SWE-Bench Pro score of 57.9(vs. Hy3 preview 46), above DeepSeek V4 Pro(55.4) and below Qwen 3.7 Max(60.6), GLM 5.2 (62.1).

Hy3's capabilities continue to improve across Tencent's product ecosystem. Tencent's product matrix in turn provides HY with extensive and authentic real-world feedback for optimization, while the model's improved capabilities in turn benefit all integrated products, creating a virtuous cycle of transferable and generalizable improvement.

- WorkBuddy task resolution rate increased from 72% to 90%, with average completion time cut by 34%.
- In Yuanbao Agent's benchmark evaluation, Hy3 surpassed GLM 5.1 and many other domestic models in comprehensive office and life service agent scenarios.
- Broader Ecosystem: Hy3 also delivers improvements across IMA, Mavis Agent, WeChat Reading, WeGame AI gaming assistant and code generation capabilities.

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Tencent Holdings Ltd. (0700.HK, 700 HK)

China Internet and Other Services | China

Stock Rating	Overweight
Industry View	Attractive
Price target	HK\$650.00
Up/downside to price target (%)	44
Shr price, close (Jul 6, 2026)	HK\$452.00
52-Week Range	HK\$683.00-411.00
Sh out, dil, curr (mn)	9,279
Mkt cap, curr (mn)	US\$534,772
EV, curr (mn)	US\$443,979
Avg daily trading value (mn)	US\$1,655

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	24.32	25.88	29.53	33.36
Prior EPS (Rmb)**	-	-	-	-
EPS (Rmb)§	27.99	30.30	33.51	37.69
Revenue, net (Rmb bn)	751.8	826.9	906.0	986.7
EBITDA (Rmb bn)	307.6	349.4	407.9	464.9
ModelWare net inc (Rmb bn)	224.8	240.2	274.0	309.6
P/E	22.1	15.1	13.2	11.7
EV/EBITDA	14.2	8.2	6.7	5.5
EV/revenue*	6.8	4.4	3.8	3.3
P/BV	4.3	2.6	2.2	1.9
ROE (%)§	21.2	19.9	18.9	18.4

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
* = GAAP or approximated based on GAAP
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Tencent Holdings Ltd. (0700.HK)

HK\$650: Base case, sum of the parts.

Core business - HK\$570: DCF (10% discount rate, 3% terminal growth rate)

Associate investments - HK\$80/share (based on reported book value) and 30% discount applied to investment value.

Risks to Upside

- Solid execution in new game launches, both domestically and overseas
- Market share gain in social and short video ads
- Resilience in social network and online entertainment competition
- 2C AI adoption ramp-up

Risks to Downside

- Gaming industry regulatory uncertainties
- Intensified competition in social networks and ad budget with emerging entertainment formats
- Tightened regulations on antitrust and amid US/China tension

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Tencent Holdings Ltd. (0700.HK) - As of 07/04/26 GMT in HKD
Industry : China Internet and Other Services



Stock Rating History: 7/1/21 : O/A; 9/20/21 : O/I; 2/24/25 : O/A

Price Target History: 4/19/21 : 800; 7/15/21 : 720; 8/19/21 : 700; 9/20/21 : 650; 1/18/22 : 600; 3/21/22 : 520; 3/24/22 : 480; 5/19/22 : 450; 8/18/22 : 400; 10/11/22 : 350; 11/17/22 : 360; 1/9/23 : 420; 2/8/23 : 450; 11/16/23 : 430; 3/21/24 : 400; 5/15/24 : 450; 9/26/24 : 480; 10/8/24 : 570; 1/15/25 : 550; 3/20/25 : 630; 7/14/25 : 650; 8/14/25 : 700; 11/14/25 : 735; 3/19/26 : 650

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: China Internet and Other Services

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/06/2026)
Eddy Wang, CFA		
Autohome Inc (ATHM.N)	E (02/09/2023)	US\$18.63
Full Truck Alliance Co. Ltd (YMM.N)	O (07/05/2023)	US\$8.67
JD.com, Inc. (JD.O)	U (11/10/2025)	US\$26.78
Kanzhun Ltd (BZ.O)	O (08/04/2021)	US\$13.67
KE Holdings Inc (BEKE.N)	O (03/16/2022)	US\$15.02
PDD Holdings Inc (PDD.O)	O (03/02/2023)	US\$83.74
Vipshop Holdings Ltd (VIPS.N)	E (02/24/2022)	US\$13.33
Gary Yu		
Alibaba Group Holding (BABA.N)	O (02/24/2025)	US\$97.91
Baidu Inc (BIDU.O)	E (05/17/2024)	US\$114.39
Meituan (3690.HK)	O (08/29/2024)	HK\$74.95
Tencent Holdings Ltd. (0700.HK)	O (03/19/2020)	HK\$452.00
Rebecca Xu		
HUYA Inc (HUYA.N)	E (05/16/2024)	US\$2.41
IQIYI Inc (IQ.O)	E (01/19/2023)	US\$1.07
JOYY Inc. (JOYY.O)	E (06/02/2022)	US\$69.35
Weibo Corp (WB.O)	U (05/17/2024)	US\$7.57
Yang Liu		
Bilibili Inc (BILI.O)	O (04/13/2026)	US\$17.90
Kuaishou Technology (1024.HK)	O (05/26/2026)	HK\$46.00
NetEase, Inc (NTES.O)	O (01/08/2025)	US\$130.99
Tongcheng Travel Holdings (0780.HK)	O (01/04/2019)	HK\$12.40
Trip.com Group Ltd (TCOM.O)	O (05/17/2021)	US\$40.98

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

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